

PROBLEM DEFINITION AND QUESTIONNAIRE DESIGN

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AGENDA

1. BACKGROUND INFORMATION
2. RESEARCH QUESTION
3. SUMMARY ANALYSIS
4. RELEVANT STATISTICAL INFO
5. CONCLUSIONS
6. LIMITATIONS

BACKGROUND INFORMATION

FOOD-BORNE ILLNESSES: E. COLI

WHAT IS A FOOD-BORNE ILLNESS?

Any illness resulting from food spoilage or contaminated food

WHAT IS E. COLI?

1

Bacteria found in the environment, foods, and intestines of people and animals

Most strands are harmless and an important part of healthy digestive system

Shiga-Toxin producing E. coli are what cause illness (STEC infections)

Vox

5

How Chipotle Made Hundreds of People Barf

BACKGROUND INFORMATION (continued…)

TIMELINE

MID 2015

E. coli O26 outbreak sickens at least 55 people, 21 hospitalized across 11 states, no reported deaths [2]

Most infected ate the same food items at Chipotle Mexican Grill locations

CDC tested multiple food items from the restaurants, could not identify specific item that caused illness

LATE 2015

Stock price fell 25% from October to December of 2015 [3]

Consumer Perception Index went from +9 in September to -12.5 in December

2016…

Sales in 2016 dropped 13%, 1st annual sales decline in company's 10 year history [4]

RESEARCH QUESTION

STUDY

Did the e-coli breakout at Chipotle Mexican Grill in 2015 influence the customers' perception of the brand?

MOTIVATIONS UNDERSTANDING THESE KEY CONSTRUCTS…



BRAND TRUST



BRAND QUALITY



BRAND LOYALTY

RESEARCH QUESTION (continued…)

WHY DOES THIS STUDY MATTER?

Identifying multiple factors on consumer perception towards a brand negatively effected by a food illness outbreak

EXPECTATIONS…

FOR

Chipotle should use this information to better understand their customers perception toward the brand

AGAINST

Company can see results of general consumer bounce back swaying positively towards the brand and not work to change



RESEARCH PROCEDURE

Survey conducted on Qualtrics, sent out electronically through GroupMe and Facebook (Convenience Sampling)

Analyzed data through Qualtrics crosstabs and various Excel functions

SUMMARY OF ANALYSIS

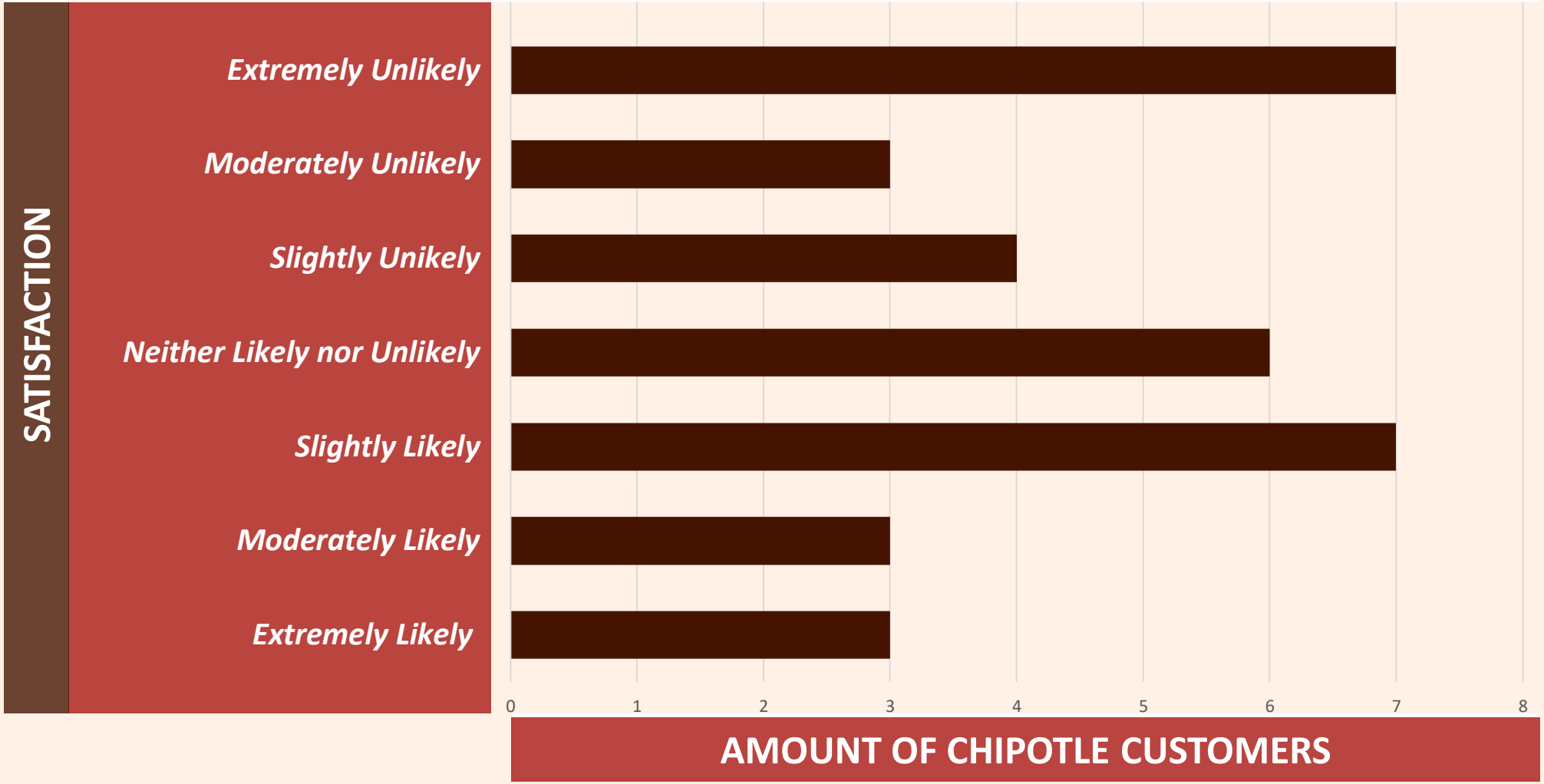
BRAND LOYALTY

		Which of these restaurants have you eaten at in the past month? (check all that apply)					
		Chipotle	*Fuego*	*Torchy's Tacos*	*Freebirds*	*Taco Bell*	***Total***
How likely is it that you will eat at a competing restaurant because of the outbreak?	*Extremely Likely*	3	3	3	1	3	7
	Moderately Likely	3	5	5	2	1	7
	Slightly Likely	7	4	2	2	4	11
	Neither Likely nor Unlikely	6	5	6	4	7	12
	Slightly Unikely	4	2	2	1	3	5
	Moderately Unlikely	3	0	0	0	1	3
	Extremely Unlikely	7	2	3	0	3	7
	Total	**33**	**20**	**21**	**10**	**22**	**52**

SUMMARY OF ANALYSIS

BRAND LOYALTY

Chipotle Customers Who Had Eaten There in The Past Month vs. Likelihood of Eating at a Competing Restaurant



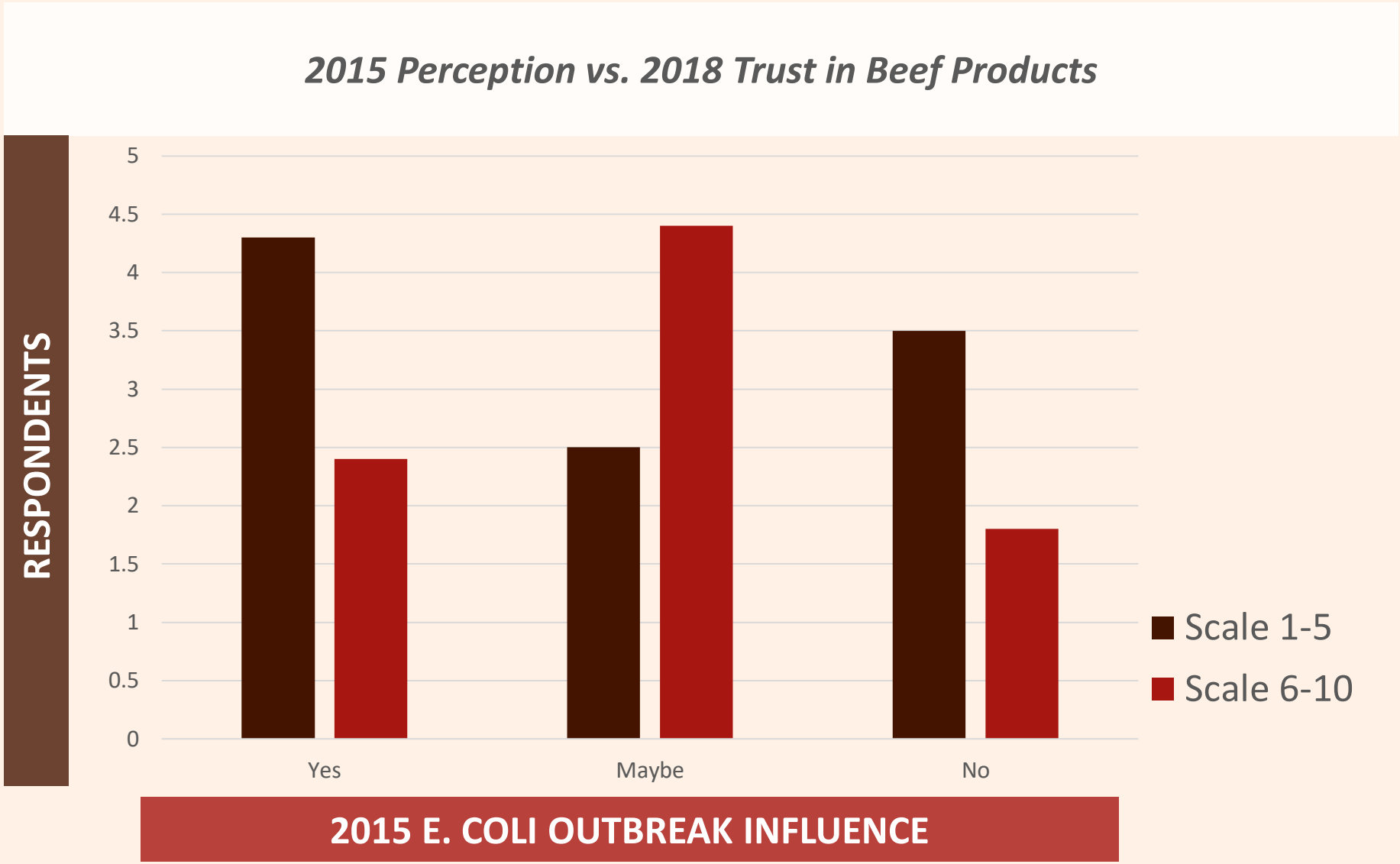
SUMMARY OF ANALYSIS

B R A N D T R U S T

		On a scale from 1 to 10, how much do you trust Chipotle's beef products? (steak and barbacoa)		
		1-5	*6-10*	***Total***
Did the 2015 e. coli outbreak influence your perception of Chipotle at the time?	*Yes*	11	13	24
	Maybe	2	10	12
	No	3	13	16
	Total	**16**	**36**	**52**

SUMMARY OF ANALYSIS

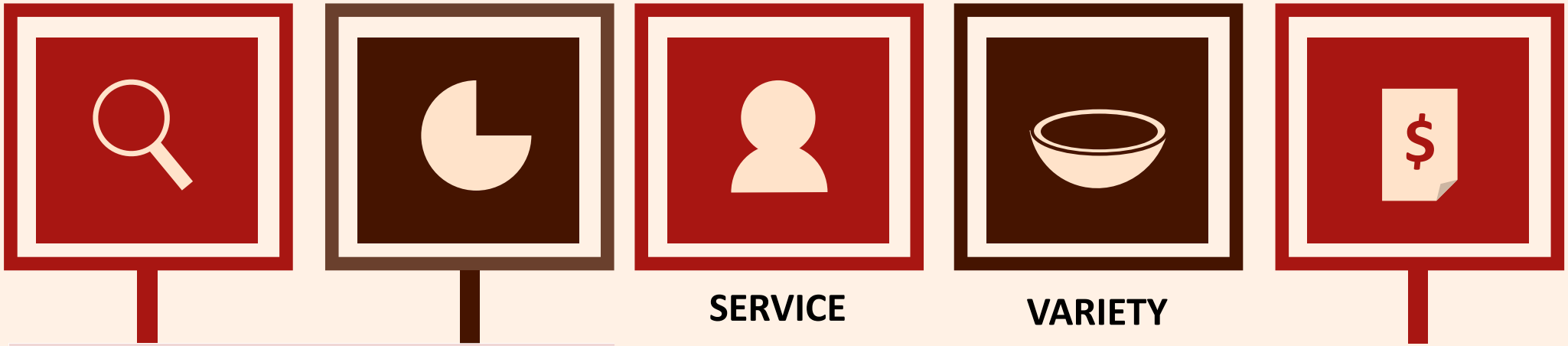
BRAND TRUST



SUMMARY OF ANALYSIS

BRAND QUALITY **USING ANOVA, a=.05**

Please rate your satisfaction of the following aspects of Chipotle, 1 to 5?



FOOD QUALITY and PORTION SIZE

Most satisfied, with an average of 4.06 out of 5

SERVICE

VARIETY

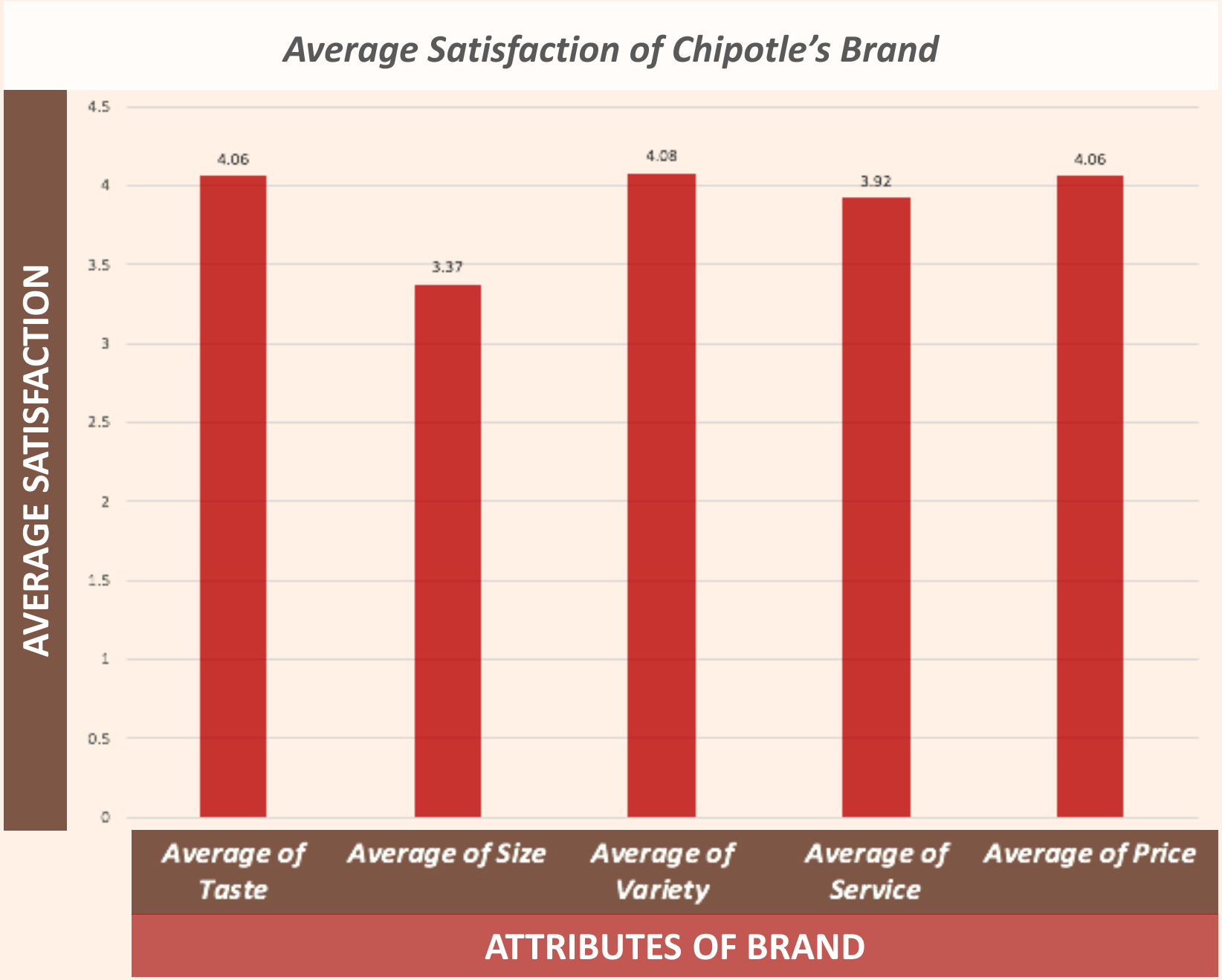
PRICE

Least satisfied, with an average response of 3.34 out of 5

P-value of 0.00014171, fail to reject the null hypothesis that all means would remain equal.

SUMMARY OF ANALYSIS

BRAND QUALITY

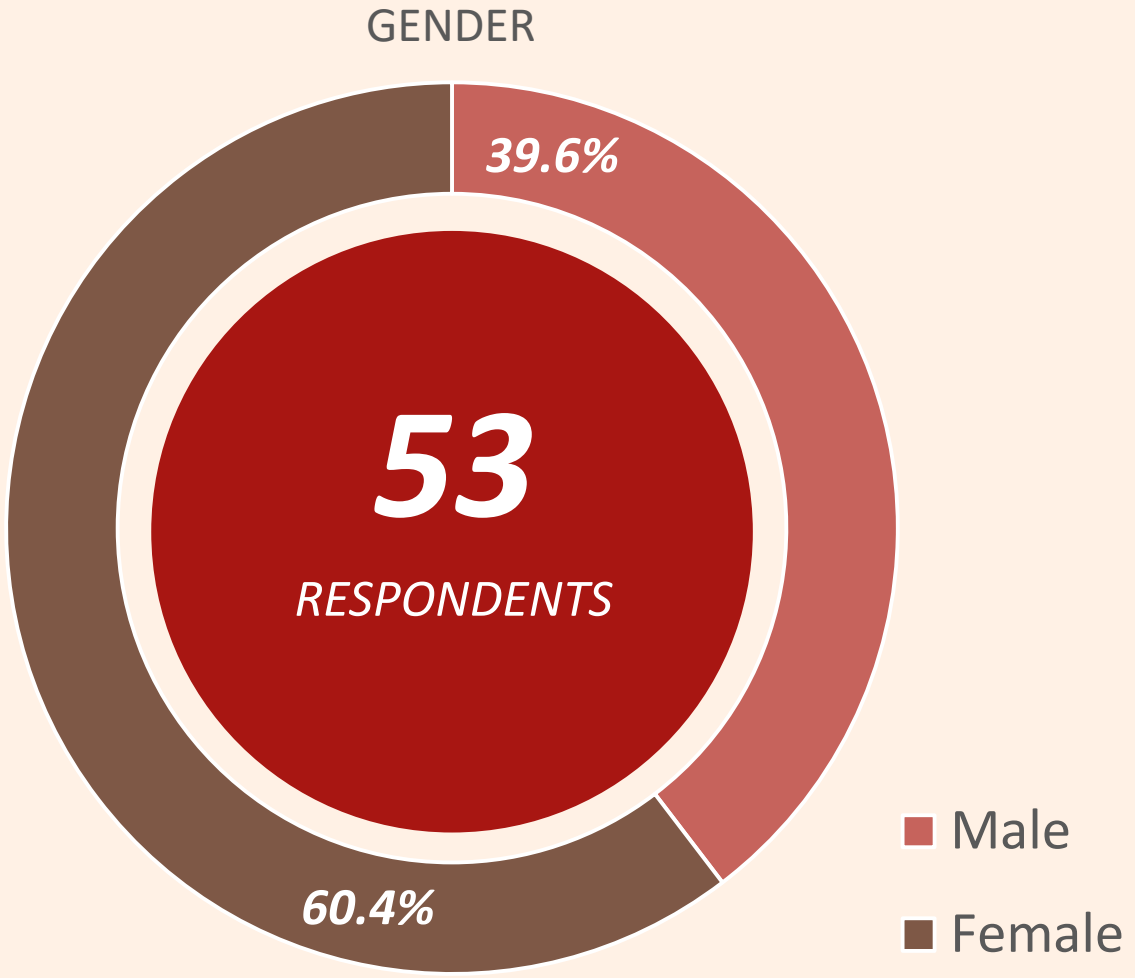


RELEVANT STATISTICAL INFO

Sample size of 53 people:

32 Female
21 Male

75.47% of respondents were 18 to 24 years old



CONCLUSIONS AND RECOMMENDATIONS FOR THE FIRM

WHAT CAN WE LEARN FROM THIS STUDY?

CHIPOTLE IS REGAINING CONSUMER TRUST

FOCUS ON CHEAPER PRICES, BUT STAY LOYAL TO FOOD QUALITY AND PORTION SIZES

PEOPLE ARE LIARS

LIMITATIONS OF PROJECT

ERRORS IN RESPONSE FORMATTING

CODING LIMITED OUR STATISTICAL ANALYSIS.

NOT THE AMOUNT OF RESPONDENTS WE HOPED FOR

64% OF OUR RESPONDENTS WERE FROM TEXAS

REFERENCES

1. https://www.fda.gov/Food/RecallsOutbreaksEmergencies/Outbreaks/ucm470410.htm
2. https://www.cdc.gov/ecoli/2015/o26-11-15/index.html
3. https://www.cnn.com/2013/06/28/health/e-coli-outbreaks-fast-facts/index.html
4. https://www.marketwatch.com/story/chipotle-stock-is-facing-a-long-road-to-recovery-from-e-coli-outbreak-2016-03-29
5. https://www.youtube.com/watch?v=0oJ6cYyr1bQ&feature=youtu.be&t=1m19s